

is the reason that a debt instrument sells, and the insurance of weak debt maintains the required high level of confidence. When the depression occurs, however, insurance companies will be unable to make good on these guarantees. They currently guarantee so much debt that complete payout to holders of insured defaulted municipal debt will be impossible even if all insurance company assets were to hold their value. In a depression, however, the values of insurance company holdings, from stocks to bonds to real estate (and probably including junk bonds as well!), will be falling precipitously. In such an environment, these guarantees will be worthless, and even insured junk bond prices will finally collapse on the realization that all issues cannot be covered. How close is the junk bond market to that resolution?

Elliott Wave Analysis

In October 1992, with 88% of the wave ② rally done, *The Elliott Wave Theorist* issued this warning:

There is powerful evidence that the bear market rally in junk bonds ended in August. The rally stopped right at the strong resistance level of wave 4 of (3) of the preceding decline. A .618 retracement would be reached at approximately 78, so *if the top isn't in, it's close*.

A sharp selloff ensued, but the junk bond market regained its footing, rising slowly until in January 1994 it edged just slightly past a .618 retracement of the 1988-1990 decline. Eleven days from the peak of wave ②, the January 28 *Elliott Wave Theorist* added, "The advance is not only still losing upside momentum, but now clearly shows a wedge-shaped pattern. What's more, the index is all alone, Treasury bonds having peaked last October." Figure 15-4 is the chart shown at the time, but updated to the present. Refer to Figure 16-8 to observe that this new rally high was registered concurrently with Treasury bonds' *lower* high in wave (2) of their new bear market, setting up the bearish non-confirmation to which *The Elliott Wave Theorist* referred. There is every reason to conclude, then, that the junk bond market a year ago reached a secondary top in either wave ② or B, approximately concurrently with the wave (II) peak in the high grade bond market, as described in Chapter 16.